Form 1120 · U.S. Corporation Income Tax Return · 2025

Prepared summary in the return's lines; not the official Form 1120. Fiscal year July 1, 2025 to June 30, 2026.

Name	HANGS Construction Services LLC
EIN	XX-XXX7890 (masked)
Address	2150 Harbor Ridge Ave S, Suite 300, Seattle, WA 98134
Classification	LLC taxed as a corporation (Form 8832); accrual method; activity code 236220
Total assets (item D)	$21,623,200.71
Due date	September 15, 2026; Form 7004 filed, extended to April 15, 2027 (to file, not to pay)

Income

1a	Gross receipts or sales		68,989,500.00
2	Cost of goods sold (Form 1125-A)	*warranty reserve out*	62,008,372.55
3	Gross profit		6,981,127.45
9	Net gain (Form 4797): crane sold	*section 1245*	180,000.00
11	**Total income**		**7,161,127.45**

Deductions

12	Compensation of officers (Form 1125-E)	*OFFICER-01*	705,000.00
13	Salaries and wages		1,895,786.01
16	Rents		372,000.00
17	Taxes and licenses		843,095.78
18	Interest (Form 8990)	*within the 30% limit*	333,032.55
19	Charitable contributions	*10% limit*	5,000.00
20	Depreciation (Form 4562)	*BONUS-01*	1,469,711.05
26	Other deductions (statement)	*meals 50%, no penalty*	1,236,292.71
27	**Total deductions**		**6,859,918.10**

Tax, Payments and Refund

28	Taxable income before NOL and special deductions		301,209.35
29a	Net operating loss deduction (80% limit)	*FY2025 loss*	240,967.48
30	**Taxable income**		**60,241.87**
31	Total tax (Schedule J, line 12)		12,650.79
33	Total payments (Form 7004 payment)		15,000.00
34	Estimated tax penalty (Form 2220)	*ESTTAX-01*	511.21
35	Amount owed		0.00
36	**Overpayment, credited to 2026 (FY2027) estimated tax**		**1,838.00**

Signature: none. This draft has not been filed. Open items stay with a person: BONUS-01, OFFICER-01, RELATED-01, ESTTAX-01, BOOKTAX-01, RETURN-01.

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Schedule J · Schedule K · Form 1125-A · Form 1125-E

Schedule J · Tax Computation and Payment

1a	Income tax: line 30 x 21%	12,650.79
3	Corporate alternative minimum tax	0.00
12	Total tax	12,650.79
13	Preceding year's overpayment credited	0.00
14	Current year's estimated tax payments	0.00
20	Tax deposited with Form 7004	15,000.00
23	Total payments and credits	15,000.00

Schedule K · Other Information, from the questionnaire

1	Accounting method	Accrual
2a	Business activity code	236220
2b	Business activity	Commercial and institutional building construction
4b	Does an individual own 50% or more of the voting stock?	Yes: Celeste Whitford, 60% (Schedule G)
5	Does the corporation own 20% or more of another entity?	No
7	Is a foreign person a 25% owner?	No
13	Receipts and assets under $250,000?	No: Schedules L, M-1 and M-2 completed
15a/b	Forms 1099 required and filed?	Yes and yes
20	Is the corporation subject to section 163(j)?	Yes: Form 8990 attached

Form 1125-A · Cost of Goods Sold

2	Purchases (materials)	13,929,300.00
3	Cost of labor (field wages)	8,336,748.51
5	Other costs (subcontracts, subcontract labor, equipment, job costs)	39,742,324.04
8	**Cost of goods sold**	**62,008,372.55**

Lines 1 and 7: no inventory; long-term contracts by percentage of completion. Line 5 excludes the $7,000.00 warranty reserve increase.

Form 1125-E · Compensation of Officers

	Celeste Whitford, President and CEO, 60% of the stock	395,000.00
	Jordan Hale, Chief Financial Officer, 0% of the stock	310,000.00
	Riley Tanaka, Vice President, 40% of the stock	0.00
4	**Total compensation of officers (to line 12)**	**705,000.00**

The board resolution approving FY2026 officer pay is unsigned (OFFICER-01). The Vice President is not an employee and was paid nothing.

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Schedules L, M-1 and M-2

Schedule L · Balance Sheets per Books

		June 30, 2025	June 30, 2026
1	Cash	5,794,576.06	5,534,665.71
2a	Trade notes and accounts receivable (incl. retainage)	8,774,826.25	11,076,385.00
6	Other current assets (statement)	271,300.00	357,650.00
10a	Buildings and other depreciable assets	5,790,100.00	7,120,000.00
10b	Less accumulated depreciation	1,963,400.00	2,465,500.00
15	**Total assets**	18,667,402.31	**21,623,200.71**
16	Accounts payable (incl. retainage)	6,109,664.33	7,443,482.65
17	Notes payable in less than 1 year	1,070,000.00	2,520,000.00
18	Other current liabilities (statement)	1,903,133.31	2,210,022.99
20	Notes payable in 1 year or more	3,060,000.00	2,160,000.00
22b	Common stock (contributed capital)	150,000.00	150,000.00
25	Retained earnings, unappropriated	6,374,604.67	**7,139,695.07**
28	**Total liabilities and shareholders' equity**	18,667,402.31	**21,623,200.71**

Line 2a includes $277,875.00 billed to Juniper Ridge Partners LLC, the Vice President's company (RELATED-01).

Schedule M-1 · Reconciliation of Income per Books With Income per Return

1	Net income per books (no income tax booked: line 2 is zero)	1,125,090.40
4	Income on return not on books: crane gain	180,000.00
5	Expenses not deducted: penalty, warranty reserve increase	41,130.00
5c	Travel and entertainment (meals over 50%, entertainment)	27,330.00
6	**Add lines 1 through 5**	**1,346,220.40**
8a	Deductions not charged against book income: depreciation	1,045,011.05
10	**Income (page 1, line 28)**	**301,209.35**

Total assets are over $10 million: the filed return carries this walk on Schedule M-3 (RETURN-01).

Schedule M-2 · Analysis of Unappropriated Retained Earnings

1	Balance at beginning of year	6,374,604.67
2	Net income per books	1,125,090.40
5a	Distributions: cash dividends, four of $90,000.00	360,000.00
8	**Balance at end of year**	**7,139,695.07**

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Supporting Statements · Forms 4562, 4797, 8990 and 2220

Form 4562 · Depreciation, assets with FY2026 tax depreciation

Asset	Contract / in service	Cost	Allowance	MACRS	FY2026 tax
EQ-3690 Tri-axle dump trucks	- / 2024-06-01	591,800.00	0.00	45,450.24	45,450.24
EQ-3977 Crawler dozer, 20-ton class	- / 2023-02-01	444,100.00	0.00	10,232.06	10,232.06
EQ-4105 Articulated dump truck, 40-ton	- / 2024-04-01	476,700.00	0.00	36,610.56	36,610.56
EQ-4150 Rough-terrain crane, 60-ton	- / 2024-08-01	692,900.00	0.00	88,691.20	88,691.20
EQ-4260 Hydraulic excavator, 50-ton, long-re	- / 2025-02-01	300,932.25	0.00	57,778.99	57,778.99
EQ-4410 Hydraulic excavator, 30-ton class	2024-12-02 / 2025-08-14	419,900.00	167,960.00 (40%)	50,388.00	218,348.00
EQ-4411 Tower crane jib extension, 15-meter	2025-08-25 / 2025-10-06	186,000.00	186,000.00 (100%)	0.00	186,000.00
EQ-4412 Concrete pump truck, 38-meter boom	2025-10-28 / 2025-12-03	338,000.00	338,000.00 (100%)	0.00	338,000.00
EQ-4413 Site office trailers	2026-02-20 / 2026-03-09	96,600.00	96,600.00 (100%)	0.00	96,600.00
EQ-4414 Telehandler, 10,000 lb, 55-foot reac	2026-04-21 / 2026-05-12	148,750.00	148,750.00 (100%)	0.00	148,750.00
EQ-4415 GPS machine control and layout syste	2026-05-15 / 2026-06-08	84,150.00	84,150.00 (100%)	0.00	84,150.00
EQ-4416 Compact track loader with attachment	2026-05-22 / 2026-06-12	159,100.00	159,100.00 (100%)	0.00	159,100.00
14	Special depreciation allowance, FY2026 additions				1,180,560.00
22	**Total depreciation (to line 20)**				**1,469,711.05**

The excavator EQ-4410 was bought under a contract signed December 2, 2024: 40%, not the 100% the register took ($1,671,263.05 in the register against $1,469,711.05 here) (BONUS-01). No section 179 expense; additions in the last quarter are under 40%, so the half-year convention applies.

Form 4797 · Crane EQ-2740 sold March 16, 2026

	Proceeds $180,000.00; no tax basis left; section 1245 ordinary gain (line 9)	180,000.00

Form 8990 · Business interest (average gross receipts $53,245,866.67)

	Adjusted taxable income: line 28 plus interest and depreciation	2,103,952.95
	Limit, 30% of adjusted taxable income	631,185.89
	Business interest expense, deducted in full	333,032.55

Form 2220 · Underpayment of Estimated Tax

3	Total tax, FY2026	12,650.79
4	Tax on the FY2025 return: none, so no prior-year exception	0.00
5	Required annual payment	12,650.79
	Installment 1, due 2025-10-15: required 3,162.70, paid nothing, cumulative shortfall 3,162.70	
	Installment 2, due 2025-12-15: required 3,162.70, paid nothing, cumulative shortfall 6,325.40	
	Installment 3, due 2026-03-16: required 3,162.70, paid nothing, cumulative shortfall 9,488.10	
	Installment 4, due 2026-06-15: required 3,162.70, paid nothing, cumulative shortfall 12,650.80	
38	**Penalty at 7% (6% April to June 2026) to September 15, 2026 (line 34)**	**511.21**

Statements

Line 26: insurance, office and administrative, and meals of $20,930.00 (50% of $41,860.00); the $6,400.00 of arena suite tickets and the $6,800.00 Labor and Industries penalty are not deducted.

Line 29a: $240,967.48 of the FY2025 loss (80% of line 28); $2,663,212.52 carries to FY2027. Line 19: contributions of $5,000.00 within the 10% limit of $6,024.19.

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FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Income · Line 1a · Gross receipts or sales

$68,989,500.00

Workbook: Income!B8

Draft figure · open items and review remain

Income!B8 = $68,989,500.00

=ROUND(-('E04 Trial Balance'!E35+'E04 Trial Balance'!E36),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Income · Line 2 · Cost of goods sold

$62,008,372.55

Workbook: Income!B14

Draft figure · open items and review remain

Income!B14 = $62,008,372.55

=ROUND(B11+B12+B13,2)

Income!B11 = $13,929,300.00

=ROUND('E04 Trial Balance'!E39,2)

E04 Trial Balance!E39 = $13,929,300.00

Income!B12 = $8,336,748.51

=ROUND('E04 Trial Balance'!E38,2)

E04 Trial Balance!E38 = $8,336,748.51

Income!B13 = $39,742,324.04

=ROUND('E04 Trial Balance'!E37+'E04 Trial Balance'!E40+'E04 Trial Balance'!E41+'E04 Trial Balance'!E42-B21,2)

E04 Trial Balance!E37 = $35,331,754.04

E04 Trial Balance!E40 = $1,806,730.00

E04 Trial Balance!E41 = $1,524,450.00

E04 Trial Balance!E42 = $1,086,390.00

Income!B21 = $7,000.00

=ROUND(B20-B19,2)

Income!B20 = $125,000.00

Income!B19 = $118,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Income · Line 3 · Gross profit

$6,981,127.45

Workbook: Income!B15

Draft figure · open items and review remain

Income!B15 = $6,981,127.45
=ROUND(B10-B14,2)

Income!B10 = $68,989,500.00
=ROUND(B8-B9,2)

Income!B8 = $68,989,500.00
=ROUND(-('E04 Trial Balance'!E35+'E04 Trial Balance'!E36),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

Income!B9 = $0.00

Income!B14 = $62,008,372.55
=ROUND(B11+B12+B13,2)

Income!B11 = $13,929,300.00
=ROUND('E04 Trial Balance'!E39,2)

E04 Trial Balance!E39 = $13,929,300.00

Income!B12 = $8,336,748.51
=ROUND('E04 Trial Balance'!E38,2)

E04 Trial Balance!E38 = $8,336,748.51

Income!B13 = $39,742,324.04
=ROUND('E04 Trial Balance'!E37+'E04 Trial Balance'!E40+'E04 Trial Balance'!E41+'E04 Trial Balance'!E42-B21,2)

E04 Trial Balance!E37 = $35,331,754.04

E04 Trial Balance!E40 = $1,806,730.00

E04 Trial Balance!E41 = $1,524,450.00

E04 Trial Balance!E42 = $1,086,390.00

... 3 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42

Original documents are attached to this PDF. The workbook is attached too.

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FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Income · Line 9 · Net gain (Form 4797)

$180,000.00

Workbook: Income!B16

Draft figure · open items and review remain

Income!B16 = $180,000.00

=ROUND('E06 Equipment'!I8-('E06 Equipment'!F8-'E06 Equipment'!N8),2)

E06 Equipment!I8 = $180,000.00

E06 Equipment!F8 = $553,061.60

E06 Equipment!N8 = $553,061.60

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Income · Line 11 · Total income

$7,161,127.45

Workbook: Income!B17

Draft figure · open items and review remain

Income!B17 = $7,161,127.45
=ROUND(B15+B16,2)

Income!B15 = $6,981,127.45
=ROUND(B10-B14,2)

Income!B10 = $68,989,500.00
=ROUND(B8-B9,2)

Income!B8 = $68,989,500.00
=ROUND(-('E04 Trial Balance'!E35+'E04 Trial Balance'!E36),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

Income!B9 = $0.00

Income!B14 = $62,008,372.55
=ROUND(B11+B12+B13,2)

Income!B11 = $13,929,300.00
=ROUND('E04 Trial Balance'!E39,2)

E04 Trial Balance!E39 = $13,929,300.00

Income!B12 = $8,336,748.51
=ROUND('E04 Trial Balance'!E38,2)

E04 Trial Balance!E38 = $8,336,748.51

Income!B13 = $39,742,324.04
=ROUND('E04 Trial Balance'!E37+'E04 Trial Balance'!E40+'E04 Trial Balance'!E41+'E04 Trial Balance'!E42-B21,2)

E04 Trial Balance!E37 = $35,331,754.04

E04 Trial Balance!E40 = $1,806,730.00

... 9 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42
04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8

Original documents are attached to this PDF. The workbook is attached too.

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FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 12 · Compensation of officers

$705,000.00

Workbook: Deductions!C8

Draft figure · open items and review remain

Deductions!C8 = $705,000.00

=B8

Deductions!B8 = $705,000.00

='E08 Resolution'!B10

E08 Resolution!B10 = $705,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Questionnaire and Approvals/FY2026 officer compensation resolution.pdf · PDF page 1; the compensation the board is asked to approve, the signature lines and the status line

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 13 · Salaries and wages

$1,895,786.01

Workbook: Deductions!C9

Draft figure · open items and review remain

Deductions!C9 = $1,895,786.01

=B9

Deductions!B9 = $1,895,786.01

=ROUND('E04 Trial Balance'!E43-B8,2)

E04 Trial Balance!E43 = $2,600,786.01

Deductions!B8 = $705,000.00

='E08 Resolution'!B10

E08 Resolution!B10 = $705,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E43

06 Questionnaire and Approvals/FY2026 officer compensation resolution.pdf · PDF page 1; the compensation the board is asked to approve, the signature lines and the status line

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 16 · Rents

$372,000.00

Workbook: Deductions!C10

Draft figure · open items and review remain

Deductions!C10 = $372,000.00

=B10

Deductions!B10 = $372,000.00

='E04 Trial Balance'!E45

E04 Trial Balance!E45 = $372,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E45

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 17 · Taxes and licenses

$843,095.78

Workbook: Deductions!C11

Draft figure · open items and review remain

Deductions!C11 = $843,095.78

=B11

Deductions!B11 = $843,095.78

='E04 Trial Balance'!E44

E04 Trial Balance!E44 = $843,095.78

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E44

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 18 · Interest

$333,032.55

Workbook: Deductions!C12

Draft figure · open items and review remain

Deductions!C12 = $333,032.55

=B12

Deductions!B12 = $333,032.55

='E04 Trial Balance'!E49

E04 Trial Balance!E49 = $333,032.55

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E49

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 19 · Charitable contributions

$5,000.00

Workbook: Deductions!C13

Draft figure · open items and review remain

Deductions!C13 = $5,000.00

=B13

Deductions!B13 = $5,000.00

='E05 GL Detail'!G22

E05 GL Detail!G22 = $5,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G22

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 20 · Depreciation

$1,469,711.05

Workbook: Deductions!C14

Draft figure · open items and review remain

Deductions!C14 = $1,469,711.05
='Depreciation'!K33

Depreciation!K33 = $1,469,711.05
=ROUND(SUM(K8:K32),2)

Depreciation!K8 = $0.00
=ROUND(I8+J8,2)

Depreciation!I8 = $0.00

Depreciation!J8 = $0.00
=ROUND((E8-ROUND(E8*G8,2))*H8,2)

Depreciation!E8 = $553,061.60
='E06 Equipment'!F8

E06 Equipment!F8 = $553,061.60

Depreciation!G8 = 100.000%
='E06 Equipment'!M8

E06 Equipment!M8 = $1.00

Depreciation!H8 = 0.000%

Depreciation!K9 = $0.00
=ROUND(I9+J9,2)

Depreciation!I9 = $0.00

Depreciation!J9 = $0.00
=ROUND((E9-ROUND(E9*G9,2))*H9,2)

Depreciation!E9 = $62,964.94
='E06 Equipment'!F9

... 181 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!F8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12, Equipment Register!F13, Equipment Register!M13

Original documents are attached to this PDF. The workbook is attached too.

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FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 26 · Other deductions

$1,236,292.71

Workbook: Deductions!C20

Draft figure · open items and review remain

Deductions!C20 = $1,236,292.71
=ROUND(SUM(C15:C19),2)

Deductions!C15 = $697,250.00
=B15

Deductions!B15 = $697,250.00
='E04 Trial Balance'!E46

E04 Trial Balance!E46 = $697,250.00

Deductions!C16 = $518,112.71
=B16

Deductions!B16 = $518,112.71
='E05 GL Detail'!G23

E05 GL Detail!G23 = $518,112.71

Deductions!C17 = $20,930.00
=ROUND(B17*B6,2)

Deductions!B17 = $41,860.00
='E05 GL Detail'!G19

E05 GL Detail!G19 = $41,860.00

Deductions!B6 = 50.000%

Deductions!C18 = $0.00
=ROUND(B18-B18,2)

Deductions!B18 = $6,400.00
='E05 GL Detail'!G20

E05 GL Detail!G20 = $6,400.00

... 3 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E46
03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G23, GL Detail!G19, GL Detail!G20, GL Detail!G21

Original documents are attached to this PDF. The workbook is attached too.

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FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 27 · Total deductions

$6,859,918.10

Workbook: Deductions!C21

Draft figure · open items and review remain

Deductions!C21 = $6,859,918.10

=ROUND(C8+C9+C10+C11+C12+C13+C14+C20,2)

Deductions!C8 = $705,000.00

=B8

Deductions!B8 = $705,000.00

='E08 Resolution'!B10

E08 Resolution!B10 = $705,000.00

Deductions!C9 = $1,895,786.01

=B9

Deductions!B9 = $1,895,786.01

=ROUND('E04 Trial Balance'!E43-B8,2)

E04 Trial Balance!E43 = $2,600,786.01

Deductions!C10 = $372,000.00

=B10

Deductions!B10 = $372,000.00

='E04 Trial Balance'!E45

E04 Trial Balance!E45 = $372,000.00

Deductions!C11 = $843,095.78

=B11

Deductions!B11 = $843,095.78

='E04 Trial Balance'!E44

E04 Trial Balance!E44 = $843,095.78

Deductions!C12 = $333,032.55

=B12

... 217 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Questionnaire and Approvals/FY2026 officer compensation resolution.pdf · PDF page 1; the compensation the board is asked to approve, the signature lines and the status line

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E43, Trial Balance!E45, Trial Balance!E44, Trial Balance!E49, Trial Balance!E46

03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G22, GL Detail!G23, GL Detail!G19, GL Detail!G20, GL Detail!G21

04 Fixed Assets/FY2026 equipment register.xlsx · Equipment Register!F8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12, Equipment Register!F13, Equipment Register!M13

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 28 · Taxable income before NOL and special deductions

$301,209.35

Workbook: Tax and Payments!B8

Draft figure · open items and review remain

Tax and Payments!B8 = $301,209.35

=ROUND('Income'!B17-'Deductions'!C21,2)

Income!B17 = $7,161,127.45

=ROUND(B15+B16,2)

Income!B15 = $6,981,127.45

=ROUND(B10-B14,2)

Income!B10 = $68,989,500.00

=ROUND(B8-B9,2)

Income!B8 = $68,989,500.00

=ROUND(-('E04 Trial Balance'!E35+'E04 Trial Balance'!E36),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

Income!B9 = $0.00

Income!B14 = $62,008,372.55

=ROUND(B11+B12+B13,2)

Income!B11 = $13,929,300.00

=ROUND('E04 Trial Balance'!E39,2)

E04 Trial Balance!E39 = $13,929,300.00

Income!B12 = $8,336,748.51

=ROUND('E04 Trial Balance'!E38,2)

E04 Trial Balance!E38 = $8,336,748.51

Income!B13 = $39,742,324.04

=ROUND('E04 Trial Balance'!E37+'E04 Trial Balance'!E40+'E04 Trial Balance'!E41+'E04 Trial Balance'!E42-B21,2)

... 241 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E45, Trial Balance!E44, Trial Balance!E49

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12

Original documents are attached to this PDF. The workbook is attached too.

06 Questionnaire and Approvals/FY2026 officer compensation resolution.pdf · PDF page 1; the compensation the board is asked to approve, the signature lines and the status line

03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G22, GL Detail!G23, GL Detail!G19, GL Detail!G20, GL Detail!G21

UNSIGNED DRAFT

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 29a · Net operating loss deduction

$240,967.48

Workbook: Tax and Payments!B9

Draft figure · open items and review remain

Tax and Payments!B9 = $240,967.48
=ROUND(MIN('E02 Prior Return'!B14,B8*B6),2)

E02 Prior Return!B14 = $2,904,180.00

Tax and Payments!B8 = $301,209.35
=ROUND('Income'!B17-'Deductions'!C21,2)

Income!B17 = $7,161,127.45
=ROUND(B15+B16,2)

Income!B15 = $6,981,127.45
=ROUND(B10-B14,2)

Income!B10 = $68,989,500.00
=ROUND(B8-B9,2)

Income!B8 = $68,989,500.00
=ROUND(-('E04 Trial Balance'!E35+'E04 Trial Balance'!E36),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

Income!B9 = $0.00

Income!B14 = $62,008,372.55
=ROUND(B11+B12+B13,2)

Income!B11 = $13,929,300.00
=ROUND('E04 Trial Balance'!E39,2)

E04 Trial Balance!E39 = $13,929,300.00

Income!B12 = $8,336,748.51
=ROUND('E04 Trial Balance'!E38,2)

... 244 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Last Year/FY2025 Form 1120 return summary.pdf · PDF page 1, the FY2025 return's key lines, the net operating loss, the dividends and the taxable income and gross receipts of FY2023 and FY2024; page 2, Schedule L at June 30, 2025

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E45, Trial Balance!E44, Trial Balance!E49

Original documents are attached to this PDF. The workbook is attached too.

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12

06 Questionnaire and Approvals/FY2026 officer compensation resolution.pdf · PDF page 1; the compensation the board is asked to approve

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FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 30 · Taxable income

$60,241.87

Workbook: Tax and Payments!B10

Draft figure · open items and review remain

Tax and Payments!B10 = $60,241.87
=ROUND(B8-B9,2)

Tax and Payments!B8 = $301,209.35
=ROUND('Income'!B17-'Deductions'!C21,2)

Income!B17 = $7,161,127.45
=ROUND(B15+B16,2)

Income!B15 = $6,981,127.45
=ROUND(B10-B14,2)

Income!B10 = $68,989,500.00
=ROUND(B8-B9,2)

Income!B8 = $68,989,500.00
=ROUND(-('E04 Trial Balance'!E35+'E04 Trial Balance'!E36),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

Income!B9 = $0.00

Income!B14 = $62,008,372.55
=ROUND(B11+B12+B13,2)

Income!B11 = $13,929,300.00
=ROUND('E04 Trial Balance'!E39,2)

E04 Trial Balance!E39 = $13,929,300.00

Income!B12 = $8,336,748.51
=ROUND('E04 Trial Balance'!E38,2)

E04 Trial Balance!E38 = $8,336,748.51

... 245 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E45, Trial Balance!E44, Trial Balance!E49

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12

06 Questionnaires and Approvals/FY2026 Officer compensation approval.pdf · PDF page 1; the compensation the board is asked to approve, the signature lines and the status line

03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G22, GL Detail!G23, GL Detail!G19, GL Detail!G20, GL Detail!G21

02 Last Year/FY2025 Form 1120 return summary.pdf · PDF page 1, the FY2025 return's key lines, the net operating loss, the dividends and

UNSIGNED DRAFT

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 31 · Total tax

$12,650.79

Workbook: Tax and Payments!B12

Draft figure · open items and review remain

Tax and Payments!B12 = $12,650.79
=B11

Tax and Payments!B11 = $12,650.79
=ROUND(B10*B5,2)

Tax and Payments!B10 = $60,241.87
=ROUND(B8-B9,2)

Tax and Payments!B8 = $301,209.35
=ROUND('Income'!B17-'Deductions'!C21,2)

Income!B17 = $7,161,127.45
=ROUND(B15+B16,2)

Income!B15 = $6,981,127.45
=ROUND(B10-B14,2)

Income!B10 = $68,989,500.00
=ROUND(B8-B9,2)

Income!B8 = $68,989,500.00
=ROUND(-('E04 Trial Balance'!E35+'E04 Trial Balance'!E36),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

Income!B9 = $0.00

Income!B14 = $62,008,372.55
=ROUND(B11+B12+B13,2)

Income!B11 = $13,929,300.00
=ROUND('E04 Trial Balance'!E39,2)

E04 Trial Balance!E39 = $13,929,300.00

... 248 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E45, Trial Balance!E44, Trial Balance!E49

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12

Original documents are attached to this PDF. The workbook is attached too.

06 Questionnaire and Approvals/FY2026 officer compensation resolution.pdf · PDF page 1; the compensation the board is asked to approve, the signature lines and the status line

03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G22, GL Detail!G23, GL Detail!G19, GL Detail!G20, GL Detail!G21

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FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 33 · Total payments

$15,000.00

Workbook: Tax and Payments!B16

Draft figure · open items and review remain

Tax and Payments!B16 = $15,000.00
=ROUND(B13+B14+'E02 Prior Return'!B15,2)

Tax and Payments!B13 = $0.00
=ROUND('E07 Tax Payments'!D8+'E07 Tax Payments'!D9+'E07 Tax Payments'!D10+'E07 Tax Payments'!D11,2)

E07 Tax Payments!D8 = $0.00

E07 Tax Payments!D9 = $0.00

E07 Tax Payments!D10 = $0.00

E07 Tax Payments!D11 = $0.00

Tax and Payments!B14 = $15,000.00
='E07 Tax Payments'!D12

E07 Tax Payments!D12 = $15,000.00

E02 Prior Return!B15 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
05 Federal Tax Payments/FY2026 federal tax payments.xlsx · Tax Payments!D8, Tax Payments!D9, Tax Payments!D10, Tax Payments!D11, Tax Payments!D12
02 Last Year/FY2025 Form 1120 return summary.pdf · PDF page 1, the FY2025 return's key lines, the net operating loss, the dividends and the taxable income and gross receipts of FY2023 and FY2024; page 2, Schedule L at June 30, 2025

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 34 · Estimated tax penalty

$511.21

Workbook: Tax and Payments!B15

Draft figure · open items and review remain

Tax and Payments!B15 = $511.21

='Estimated Tax'!D31

Estimated Tax!D31 = $511.21

=ROUND(SUM(D18:D30),2)

Estimated Tax!D18 = $46.70

=ROUND(E18*B18/365*C18,2)

Estimated Tax!E18 = $3,162.70

=ROUND(C12-D12,2)

Estimated Tax!C12 = $3,162.70

=ROUND(B10*B6,2)

Estimated Tax!B10 = $12,650.79

=B8

Estimated Tax!B8 = $12,650.79

='Tax and Payments'!B12

Tax and Payments!B12 = $12,650.79

=B11

Tax and Payments!B11 = $12,650.79

=ROUND(B10*B5,2)

Tax and Payments!B10 = $60,241.87

=ROUND(B8-B9,2)

Tax and Payments!B8 = $301,209.35

=ROUND('Income'!B17-'Deductions'!C21,2)

Income!B17 = $7,161,127.45

=ROUND(B15+B16,2)

Income!B15 = $6,981,127.45

=ROUND(B10-B14,2)

... 318 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E45, Trial Balance!E44, Trial Balance!E49

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12

06 Questionnaire and Approvals/FY2026 officer compensation resolution.pdf · PDF page 1; the compensation the board is asked to approve, the signature lines and the status line

03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G22, GL Detail!G23, GL Detail!G19, GL Detail!G20, GL Detail!G21

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 36 · Overpayment

$1,838.00

Workbook: Tax and Payments!B18

Draft figure · open items and review remain

Tax and Payments!B18 = $1,838.00
=ROUND(MAX(0,B16-B12-B15),2)

Tax and Payments!B16 = $15,000.00
=ROUND(B13+B14+'E02 Prior Return'!B15,2)

Tax and Payments!B13 = $0.00
=ROUND('E07 Tax Payments'!D8+'E07 Tax Payments'!D9+'E07 Tax Payments'!D10+'E07 Tax Payments'!D11,2)

E07 Tax Payments!D8 = $0.00

E07 Tax Payments!D9 = $0.00

E07 Tax Payments!D10 = $0.00

E07 Tax Payments!D11 = $0.00

Tax and Payments!B14 = $15,000.00
='E07 Tax Payments'!D12

E07 Tax Payments!D12 = $15,000.00

E02 Prior Return!B15 = $0.00

Tax and Payments!B12 = $12,650.79
=B11

Tax and Payments!B11 = $12,650.79
=ROUND(B10*B5,2)

Tax and Payments!B10 = $60,241.87
=ROUND(B8-B9,2)

Tax and Payments!B8 = $301,209.35
=ROUND('Income'!B17-'Deductions'!C21,2)

Income!B17 = $7,161,127.45
=ROUND(B15+B16,2)

... 322 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Federal Tax Payments/FY2026 federal tax payments.xlsx · Tax Payments!D8, Tax Payments!D9, Tax Payments!D10, Tax Payments!D11, Tax Payments!D12

02 Last Year/FY2025 Form 1120 return summary.pdf · PDF page 1, the FY2025 return's key lines, the net operating loss, the dividends and the taxable income and gross receipts of FY2023 and FY2024; page 2, Schedule L at June 30, 2025

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E45, Trial Balance!E44, Trial Balance!E49

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Schedule L · Line 15 · Total assets, end of year

$21,623,200.71

Workbook: Schedule L!C14

Draft figure · open items and review remain

Schedule L!C14 = $21,623,200.71

=ROUND(C8+C9+C11+C12-C13,2)

Schedule L!C8 = $5,534,665.71

=ROUND('E04 Trial Balance'!E8+'E04 Trial Balance'!E9,2)

E04 Trial Balance!E8 = $5,361,685.31

E04 Trial Balance!E9 = $172,980.40

Schedule L!C9 = $11,076,385.00

=ROUND('E04 Trial Balance'!E10+'E04 Trial Balance'!E11+'E04 Trial Balance'!E12,2)

E04 Trial Balance!E10 = $9,637,385.00

E04 Trial Balance!E11 = $277,875.00

E04 Trial Balance!E12 = $1,161,125.00

Schedule L!C11 = $357,650.00

=ROUND('E04 Trial Balance'!E13+'E04 Trial Balance'!E14,2)

E04 Trial Balance!E13 = $61,250.00

E04 Trial Balance!E14 = $296,400.00

Schedule L!C12 = $7,120,000.00

=ROUND('E04 Trial Balance'!E15,2)

E04 Trial Balance!E15 = $7,120,000.00

Schedule L!C13 = $2,465,500.00

=ROUND(-('E04 Trial Balance'!E16),2)

E04 Trial Balance!E16 = ($2,465,500.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E8, Trial Balance!E9, Trial Balance!E10, Trial Balance!E11, Trial Balance!E12, Trial Balance!E13, Trial Balance!E14, Trial Balance!E15, Trial Balance!E16

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Schedule L · Line 25 · Retained earnings, end of year

$7,139,695.07

Workbook: Schedule L!C20

Draft figure · open items and review remain

Schedule L!C20 = $7,139,695.07
='Schedule M-2'!B15

Schedule M-2!B15 = $7,139,695.07
=ROUND(B11-B14,2)

Schedule M-2!B11 = $7,499,695.07
=ROUND(B8+B9+B10,2)

Schedule M-2!B8 = $6,374,604.67
='Schedule L'!B20

Schedule L!B20 = $6,374,604.67
=ROUND(-'E04 Trial Balance'!D33-B19,2)

E04 Trial Balance!D33 = ($6,524,604.67)

Schedule L!B19 = $150,000.00

Schedule M-2!B9 = $1,125,090.40
='Schedule M-1'!B8

Schedule M-1!B8 = $1,125,090.40
=ROUND(-SUM('E04 Trial Balance'!E35:E49),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

E04 Trial Balance!E37 = $35,331,754.04

E04 Trial Balance!E38 = $8,336,748.51

E04 Trial Balance!E39 = $13,929,300.00

E04 Trial Balance!E40 = $1,806,730.00

E04 Trial Balance!E41 = $1,524,450.00

... 13 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!D33, Trial Balance!E35, Trial Balance!E36, Trial Balance!E37, Trial Balance!E38, Trial Balance!E39, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E44, Trial Balance!E45

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Schedule M-1 · Line 1 · Net income per books

$1,125,090.40

Workbook: Schedule M-1!B8

Draft figure · open items and review remain

Schedule M-1!B8 = $1,125,090.40

=ROUND(-SUM('E04 Trial Balance'!E35:E49),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

E04 Trial Balance!E37 = $35,331,754.04

E04 Trial Balance!E38 = $8,336,748.51

E04 Trial Balance!E39 = $13,929,300.00

E04 Trial Balance!E40 = $1,806,730.00

E04 Trial Balance!E41 = $1,524,450.00

E04 Trial Balance!E42 = $1,086,390.00

E04 Trial Balance!E43 = $2,600,786.01

E04 Trial Balance!E44 = $843,095.78

E04 Trial Balance!E45 = $372,000.00

E04 Trial Balance!E46 = $697,250.00

E04 Trial Balance!E47 = $578,172.71

E04 Trial Balance!E48 = $424,700.00

E04 Trial Balance!E49 = $333,032.55

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E37, Trial Balance!E38, Trial Balance!E39, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E44, Trial Balance!E45, Trial Balance!E46

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Schedule M-1 · Line 4 · Income not recorded on books

$180,000.00

Workbook: Schedule M-1!B11

Draft figure · open items and review remain

Schedule M-1!B11 = $180,000.00

='Income'!B16

Income!B16 = $180,000.00

=ROUND('E06 Equipment'!I8-('E06 Equipment'!F8-'E06 Equipment'!N8),2)

E06 Equipment!I8 = $180,000.00

E06 Equipment!F8 = $553,061.60

E06 Equipment!N8 = $553,061.60

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Schedule M-1 · Line 5 · Expenses on books not deducted

$41,130.00

Workbook: Schedule M-1!B15

Draft figure · open items and review remain

Schedule M-1!B15 = $41,130.00
=ROUND(B12+B13+B14,2)

Schedule M-1!B12 = $27,330.00
=ROUND('Deductions'!D17+'Deductions'!D18,2)

Deductions!D17 = $20,930.00
=ROUND(B17-C17,2)

Deductions!B17 = $41,860.00
='E05 GL Detail'!G19

E05 GL Detail!G19 = $41,860.00

Deductions!C17 = $20,930.00
=ROUND(B17*B6,2)

Deductions!B6 = 50.000%

Deductions!D18 = $6,400.00
=ROUND(B18-C18,2)

Deductions!B18 = $6,400.00
='E05 GL Detail'!G20

E05 GL Detail!G20 = $6,400.00

Deductions!C18 = $0.00
=ROUND(B18-B18,2)

Schedule M-1!B13 = $6,800.00
='Deductions'!D19

Deductions!D19 = $6,800.00
=ROUND(B19-C19,2)

Deductions!B19 = $6,800.00
='E05 GL Detail'!G21

... 6 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G19, GL Detail!G20, GL Detail!G21

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Schedule M-1 · Line 5c · Travel and entertainment

$27,330.00

Workbook: Schedule M-1!B12

Draft figure · open items and review remain

Schedule M-1!B12 = $27,330.00
=ROUND('Deductions'!D17+'Deductions'!D18,2)

Deductions!D17 = $20,930.00
=ROUND(B17-C17,2)

Deductions!B17 = $41,860.00
='E05 GL Detail'!G19

E05 GL Detail!G19 = $41,860.00

Deductions!C17 = $20,930.00
=ROUND(B17*B6,2)

Deductions!B6 = 50.000%

Deductions!D18 = $6,400.00
=ROUND(B18-C18,2)

Deductions!B18 = $6,400.00
='E05 GL Detail'!G20

E05 GL Detail!G20 = $6,400.00

Deductions!C18 = $0.00
=ROUND(B18-B18,2)

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G19, GL Detail!G20

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Schedule M-1 · Line 6 · Add lines 1 through 5

$1,346,220.40

Workbook: Schedule M-1!B16

Draft figure · open items and review remain

Schedule M-1!B16 = $1,346,220.40
=ROUND(B8+B9+B10+B11+B13+B14+B12,2)

Schedule M-1!B8 = $1,125,090.40
=ROUND(-SUM('E04 Trial Balance'!E35:E49),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

E04 Trial Balance!E37 = $35,331,754.04

E04 Trial Balance!E38 = $8,336,748.51

E04 Trial Balance!E39 = $13,929,300.00

E04 Trial Balance!E40 = $1,806,730.00

E04 Trial Balance!E41 = $1,524,450.00

E04 Trial Balance!E42 = $1,086,390.00

E04 Trial Balance!E43 = $2,600,786.01

E04 Trial Balance!E44 = $843,095.78

E04 Trial Balance!E45 = $372,000.00

E04 Trial Balance!E46 = $697,250.00

E04 Trial Balance!E47 = $578,172.71

E04 Trial Balance!E48 = $424,700.00

E04 Trial Balance!E49 = $333,032.55

Schedule M-1!B9 = $0.00

... 25 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E37, Trial Balance!E38, Trial Balance!E39, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E44, Trial Balance!E45, Trial Balance!E46
04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8
03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G21, GL Detail!G19, GL Detail!G20

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Schedule M-1 · Line 8a · Depreciation

$1,045,011.05

Workbook: Schedule M-1!B17

Draft figure · open items and review remain

Schedule M-1!B17 = $1,045,011.05
=ROUND(-'Deductions'!D14,2)

Deductions!D14 = ($1,045,011.05)
=ROUND(B14-C14,2)

Deductions!B14 = $424,700.00
='E04 Trial Balance'!E48

E04 Trial Balance!E48 = $424,700.00

Deductions!C14 = $1,469,711.05
='Depreciation'!K33

Depreciation!K33 = $1,469,711.05
=ROUND(SUM(K8:K32),2)

Depreciation!K8 = $0.00
=ROUND(I8+J8,2)

Depreciation!I8 = $0.00

Depreciation!J8 = $0.00
=ROUND((E8-ROUND(E8*G8,2))*H8,2)

Depreciation!E8 = $553,061.60
='E06 Equipment'!F8

E06 Equipment!F8 = $553,061.60

Depreciation!G8 = 100.000%
='E06 Equipment'!M8

E06 Equipment!M8 = $1.00

Depreciation!H8 = 0.000%

... 185 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E48
04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!F8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12, Equipment Register!F13, Equipment Register!M13

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Schedule M-1 · Line 10 · Income (page 1, line 28)

$301,209.35

Workbook: Schedule M-1!B19

Draft figure · open items and review remain

Schedule M-1!B19 = $301,209.35
=ROUND(B16-B18,2)

Schedule M-1!B16 = $1,346,220.40
=ROUND(B8+B9+B10+B11+B13+B14+B12,2)

Schedule M-1!B8 = $1,125,090.40
=ROUND(-SUM('E04 Trial Balance'!E35:E49),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

E04 Trial Balance!E37 = $35,331,754.04

E04 Trial Balance!E38 = $8,336,748.51

E04 Trial Balance!E39 = $13,929,300.00

E04 Trial Balance!E40 = $1,806,730.00

E04 Trial Balance!E41 = $1,524,450.00

E04 Trial Balance!E42 = $1,086,390.00

E04 Trial Balance!E43 = $2,600,786.01

E04 Trial Balance!E44 = $843,095.78

E04 Trial Balance!E45 = $372,000.00

E04 Trial Balance!E46 = $697,250.00

E04 Trial Balance!E47 = $578,172.71

E04 Trial Balance!E48 = $424,700.00

E04 Trial Balance!E49 = $333,032.55

... 224 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E37, Trial Balance!E38, Trial Balance!E39, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E44, Trial Balance!E45, Trial Balance!E46

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12

03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G21, GL Detail!G19, GL Detail!G20

UNSIGNED DRAFT

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Schedule M-2 · Line 8 · Balance at end of year

$7,139,695.07

Workbook: Schedule M-2!B15

Draft figure · open items and review remain

Schedule M-2!B15 = $7,139,695.07
=ROUND(B11-B14,2)

Schedule M-2!B11 = $7,499,695.07
=ROUND(B8+B9+B10,2)

Schedule M-2!B8 = $6,374,604.67
='Schedule L'!B20

Schedule L!B20 = $6,374,604.67
=ROUND(-'E04 Trial Balance'!D33-B19,2)

E04 Trial Balance!D33 = ($6,524,604.67)

Schedule L!B19 = $150,000.00

Schedule M-2!B9 = $1,125,090.40
='Schedule M-1'!B8

Schedule M-1!B8 = $1,125,090.40
=ROUND(-SUM('E04 Trial Balance'!E35:E49),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

E04 Trial Balance!E37 = $35,331,754.04

E04 Trial Balance!E38 = $8,336,748.51

E04 Trial Balance!E39 = $13,929,300.00

E04 Trial Balance!E40 = $1,806,730.00

E04 Trial Balance!E41 = $1,524,450.00

E04 Trial Balance!E42 = $1,086,390.00

... 12 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!D33, Trial Balance!E35, Trial Balance!E36, Trial Balance!E37, Trial Balance!E38, Trial Balance!E39, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E44, Trial Balance!E45

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 4562 · Line 14 · Special depreciation allowance

$1,180,560.00

Workbook: Depreciation!I33

Draft figure · open items and review remain

Depreciation!I33 = $1,180,560.00
=ROUND(SUM(I8:I32),2)

Depreciation!I8 = $0.00

Depreciation!I9 = $0.00

Depreciation!I10 = $0.00

Depreciation!I11 = $0.00

Depreciation!I12 = $0.00

Depreciation!I13 = $0.00

Depreciation!I14 = $0.00

Depreciation!I15 = $0.00

Depreciation!I16 = $0.00

Depreciation!I17 = $0.00

Depreciation!I18 = $0.00

Depreciation!I19 = $0.00

Depreciation!I20 = $0.00

Depreciation!I21 = $0.00

Depreciation!I22 = $0.00

Depreciation!I23 = $0.00

Depreciation!I24 = $0.00

Depreciation!I25 = $0.00

... 28 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!F26, Equipment Register!F27, Equipment Register!F28, Equipment Register!F29, Equipment Register!F30, Equipment Register!F31, Equipment Register!F32

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 2220 · Line 5 · Required annual payment

$12,650.79

Workbook: Estimated Tax!B10

Draft figure · open items and review remain

Estimated Tax!B10 = $12,650.79

=B8

Estimated Tax!B8 = $12,650.79

='Tax and Payments'!B12

Tax and Payments!B12 = $12,650.79

=B11

Tax and Payments!B11 = $12,650.79

=ROUND(B10*B5,2)

Tax and Payments!B10 = $60,241.87

=ROUND(B8-B9,2)

Tax and Payments!B8 = $301,209.35

=ROUND('Income'!B17-'Deductions'!C21,2)

Income!B17 = $7,161,127.45

=ROUND(B15+B16,2)

Income!B15 = $6,981,127.45

=ROUND(B10-B14,2)

Income!B10 = $68,989,500.00

=ROUND(B8-B9,2)

Income!B8 = $68,989,500.00

=ROUND(-('E04 Trial Balance'!E35+'E04 Trial Balance'!E36),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

Income!B9 = $0.00

Income!B14 = $62,008,372.55

=ROUND(B11+B12+B13,2)

... 250 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E45, Trial Balance!E44, Trial Balance!E49

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12

06 Questionnaire and Approvals/FY2026 officer compensation resolution.pdf · PDF page 1; the compensation the board is asked to approve, the signature lines and the status line

03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G22, GL Detail!G23, GL Detail!G19, GL Detail!G20, GL Detail!G21

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 (FY2026) · FOLLOW THE EVIDENCE

Form 8990 · Limit: 30% of adjusted taxable income

$631,185.89

Workbook: Interest Limit!B12

Draft figure · open items and review remain

Interest Limit!B12 = $631,185.89
=ROUND(B11*B6,2)

Interest Limit!B11 = $2,103,952.95
=ROUND(B8+B9+B10,2)

Interest Limit!B8 = $301,209.35
='Tax and Payments'!B8

Tax and Payments!B8 = $301,209.35
=ROUND('Income'!B17-'Deductions'!C21,2)

Income!B17 = $7,161,127.45
=ROUND(B15+B16,2)

Income!B15 = $6,981,127.45
=ROUND(B10-B14,2)

Income!B10 = $68,989,500.00
=ROUND(B8-B9,2)

Income!B8 = $68,989,500.00
=ROUND(-('E04 Trial Balance'!E35+'E04 Trial Balance'!E36),2)

E04 Trial Balance!E35 = ($68,928,250.00)

E04 Trial Balance!E36 = ($61,250.00)

Income!B9 = $0.00

Income!B14 = $62,008,372.55
=ROUND(B11+B12+B13,2)

Income!B11 = $13,929,300.00
=ROUND('E04 Trial Balance'!E39,2)

E04 Trial Balance!E39 = $13,929,300.00

... 247 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 FY2026 Accounting/FY2026 year-end trial balance.xlsx · Trial Balance!E35, Trial Balance!E36, Trial Balance!E39, Trial Balance!E38, Trial Balance!E37, Trial Balance!E40, Trial Balance!E41, Trial Balance!E42, Trial Balance!E43, Trial Balance!E45, Trial Balance!E44, Trial Balance!E49

04 Fixed Assets/FY2026 equipment register book and tax.xlsx · Equipment Register!I8, Equipment Register!F8, Equipment Register!N8, Equipment Register!M8, Equipment Register!F9, Equipment Register!M9, Equipment Register!F10, Equipment Register!M10, Equipment Register!F11, Equipment Register!M11, Equipment Register!F12, Equipment Register!M12

Original documents are attached to this PDF. The workbook is attached too.

06 Questionnaire and Approvals/FY2026 officer compensation resolution.pdf · PDF page 1; the compensation the board is asked to approve, the signature lines and the status line

03 FY2026 Accounting/FY2026 general ledger detail.xlsx · GL Detail!G22, GL Detail!G23, GL Detail!G19, GL Detail!G20, GL Detail!G21

UNSIGNED DRAFT

WHAT STILL NEEDS A PERSON

BONUS-01 · $201,552.00: EQ-4410 hydraulic excavator, 30-ton class, $419,900.00: the purchase contract was signed December 2, 2024 and the excavator was placed in service August 14, 2025. Property acquired before January 20, 2025 gets the 40% allowance, so the draft deducts $218,348.00; the depreciation software took 100%, $419,900.00, $201,552.00 more. A person confirms the contract was binding on that date and corrects the register before Form 4562 is filed.

OFFICER-01 · $705,000.00: The board resolution approving FY2026 officer pay ($705,000.00: the President and CEO's and the Chief Financial Officer's salaries) was prepared July 8, 2025 and neither director has signed it. The draft deducts the salaries paid on line 12 and Form 1125-E; Riley Tanaka, Vice President and 40% shareholder, is listed with no pay. A person obtains the signed resolution.

RELATED-01 · $277,875.00: Account 1210 holds $277,875.00 billed June 30, 2026 to Juniper Ridge Partners LLC, owned by the Vice President, a 40% shareholder, for job J-2625 under a cost-plus contract; it was paid July 20, 2026. A person confirms the contract's markup is what HANGS charges unrelated owners: a below-market price would move income to the Vice President's company and could be a constructive dividend.

ESTTAX-01 · $511.21: No FY2026 estimated payment was made. FY2025 showed no tax, so the prior-year exception is not available, and HANGS is a large corporation (FY2024 taxable income $1,182,400.00). The regular method gives $511.21, entered on line 34. A person decides whether the annualized income installment method (Form 2220 Schedule A) lowers it, and whether to attach Form 2220.

BOOKTAX-01 · $12,650.79: The FY2026 books carry no income tax account: net income per books, $1,125,090.40, is before federal income tax, and Schedule M-1 line 2 is zero. The $12,650.79 of tax and the $511.21 penalty belong in the company's records; the controller records them with the Form 7004 payment.

RETURN-01 · $1,838.00: Unsigned draft. The return was due September 15, 2026 (a June 30 year end files by the 15th day of the 3rd month); Form 7004, filed that day with $15,000.00, extends the time to file to April 15, 2027. The $1,838.00 overpayment is credited to FY2027 estimated tax; $2,663,212.52 of the loss carries to FY2027. Resolve the open items first; an officer signs and a person files. Nothing has been filed.

This PDF is an unsigned draft in the return's lines. It is not the official Form 1120, and it has not been reviewed or filed.

UNSIGNED DRAFT

TAX RULE CHECKS

Official sources checked during this run. These checks inform a reviewer, change no amount and settle no judgment.

What is the 2025 corporate income tax rate?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i1120
Taxable income of $60,241.87 times 21% is $12,650.79, the total tax on line 31. The rate was 21% for every day of the fiscal year, so no blended rate is figured; no credits and no corporate alternative minimum tax.

When is the return for a fiscal year ending June 30, 2026 due?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i1120
The FY2026 return and its balance were due September 15, 2026.

How long does Form 7004 extend a June 30 corporation?

Verified Online · Instructions for Form 7004 (12/2025) · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i7004
Form 7004 filed September 15, 2026 with $15,000.00 extends filing to April 15, 2027; the payment covered the tax and the penalty, leaving an overpayment.

Must HANGS complete Schedules L, M-1 and M-2, and is Schedule M-3 needed instead?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · needs-human-judgment
https://www.irs.gov/instructions/i1120
Total assets at June 30, 2026 are over $10 million, so the filed return uses Schedule M-3 in place of Schedule M-1; the draft shows the same walk from book income in the lines of Schedule M-1 and flags the form (RETURN-01).
Stays with a person: A person completes Schedule M-3 from the same reconciliation before filing (RETURN-01).

Is Form 1125-E required, and what supports the officers' 2025 pay?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · needs-human-judgment
https://www.irs.gov/instructions/i1120
Receipts are over $500,000, so Form 1125-E lists the officers: the President and CEO $395,000.00 and the Chief Financial Officer $310,000.00 (line 12, $705,000.00); the Vice President, a 40% shareholder, is not paid. The board resolution approving the pay is unsigned (OFFICER-01).
Stays with a person: A person obtains the signed board resolution approving FY2026 officer pay (OFFICER-01).

How much of the 2025 meals and entertainment account is deductible?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i1120
Business meals of $41,860.00 (expense code 6500-10) are deducted at 50%, $20,930.00; the $6,400.00 of arena suite tickets (6500-15) is entertainment and is not deducted. Schedule M-1 line 5c adds back $27,330.00.

Is the Labor and Industries citation penalty deductible?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i1120
The $6,800.00 Labor and Industries citation penalty (6500-20) is not deducted; Schedule M-1 line 5 adds it back.

How much of the $36,000.00 of contributions is deductible for 2025?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i1120
Contributions of $5,000.00 are within 10% of taxable income, $6,024.19: deducted in full on line 19, no carryover.

UNSIGNED DRAFT

TAX RULE CHECKS, CONTINUED

What special depreciation allowance applies to the excavator, the crew 3 truck and the tablets acquired in 2025?

Verified Online · Instructions for Form 4562 (2025), Depreciation and Amortization · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i4562

Six FY2026 additions were bought under contracts signed after January 19, 2025 and placed in service in FY2026: 100% special allowance.

What allowance applies to the trailer ordered in December 2024 and delivered in January 2025?

Verified Online · Publication 946 (2025), How To Depreciate Property · retrieved 2026-11-08 · needs-human-judgment

https://www.irs.gov/pub/irs-pdf/p946.pdf

The 30-ton excavator EQ-4410 was bought under a contract signed December 2, 2024 and placed in service August 14, 2025: 40%, $167,960.00, plus $50,388.00 of MACRS. The software took 100% (BONUS-01).

Stays with a person: A person confirms the December 2, 2024 purchase contract was binding and corrects the register (BONUS-01).

What recovery period and rates apply to the construction equipment, vehicles and computers?

Verified Online · Publication 946 (2025), How To Depreciate Property · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/pub/irs-pdf/p946.pdf

Construction equipment is 5-year property (asset class 15.0). The fiscal year is the recovery year: the FY2024 assets take 19.2%, the FY2025 assets 32%, the FY2023 dozer 11.52%; the crane and the 2008 trailers were fully depreciated for tax.

How is the crane sale taxed when the books recorded no gain?

Verified Online · Instructions for Form 4797 (2025), Sales of Business Property · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i4797

The 2005 crawler crane, cost $553,061.60, had no tax basis left; the $180,000.00 sale is a $180,000.00 ordinary gain (line 9). The books credited the proceeds to accumulated depreciation, so Schedule M-1 line 4 adds it.

Can the warranty reserve be deducted when it is booked?

Verified Online · Publication 538, Accounting Periods and Methods · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/publications/p538

The reserve rose from $118,000.00 to $125,000.00; the $7,000.00 increase is taken out of cost of goods sold and added back on Schedule M-1 line 5.

How much of the FY2025 loss can FY2026 use?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1120

Line 28 is $301,209.35; 80% is $240,967.48, deducted from the $2,904,180.00 FY2025 loss; $2,663,212.52 carries to FY2027.

Is the business interest limited?

Verified Online · Instructions for Form 8990 (12/2025), Limitation on Business Interest Expense · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i8990

Average gross receipts of FY2023 to FY2025 are $53,245,866.67, over $31 million, so Form 8990 is filed. Adjusted taxable income $2,103,952.95; 30% is $631,185.89; all $333,032.55 of interest is deducted.

What did HANGS have to pay in each 2025 installment?

Verified Online · Instructions for Form 2220 (2025), Underpayment of Estimated Tax by Corporations · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i2220

FY2025 showed no tax, so the prior-year exception is not available; and FY2024 taxable income of $1,182,400.00 makes HANGS a large corporation. The required annual payment is the FY2026 tax, $12,650.79: $3,162.70 on October 15 and December 15, 2025 and March 16 and June 15, 2026.

UNSIGNED DRAFT

TAX RULE CHECKS, CONTINUED

How is the penalty for the short September installment figured?

Verified Online · Instructions for Form 2220 (2025), Underpayment of Estimated Tax by Corporations · retrieved 2026-11-08 · needs-human-judgment

https://www.irs.gov/instructions/i2220

No installment was paid. Each runs to September 15, 2026, the original due date, when the Form 7004 payment covered it (line 34).

Stays with a person: A person decides whether the annualized income installment method lowers the penalty (ESTTAX-01).

What underpayment rate applies to each part of the penalty period?

Verified Online · Quarterly interest rates (IRS) · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/payments/quarterly-interest-rates

The penalty is figured at 7% for October 16, 2025 to March 31, 2026, 6% for April to June 2026 and 7% for July 1 to September 15, 2026.

Which 2025 Form 1120 lines does the draft fill?

Verified Online · Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/pub/irs-pdf/f1120.pdf

The 2025 form serves a fiscal year beginning in 2025: lines 1a to 36, Schedules J, K, L, M-1 and M-2, with Forms 1125-A, 1125-E, 4562, 4797, 8990 and 2220.

Does the job for the Vice President's company have to be at arm's length?

Verified Online · 26 U.S. Code 482, Allocation of income and deductions among taxpayers · retrieved 2026-11-08 · needs-human-judgment

https://www.law.cornell.edu/uscode/text/26/482

Job J-2625 for Juniper Ridge Partners LLC, owned by the Vice President, is cost-plus; $277,875.00 was billed June 30, 2026 and paid July 20. The draft reports the billing as recorded (RELATED-01).

Stays with a person: A person compares the J-2625 markup with HANGS's other contracts; a below-market price could be a constructive dividend (RELATED-01).

UNSIGNED DRAFT